

everything pertinent to the financial markets. We live in a sound-bite culture that peddles the idea that investing is not painstaking or rigorous, but easy. There will never be a Graham and Dodd channel on cable business TV; human nature ensures it. That channel would be the broadcasting equivalent of watching paint dry.

Then there is the influence of social media. In recent years, speculators gathering on Reddit and other such platforms have gained notoriety for their involvement in “meme stocks,” typically frail and even near-bankrupt companies that are often being sold short by hedge funds. This herd regards the stocks as speculative vehicles and treats them like a casino game. While occasionally their bull raids squeeze a short seller overexposed to a single name, the combination of poor fundamentals and overvaluation is toxic—and can be expected to sink most meme stocks over time. When you overpay and ignore fundamental value, you’ve almost certainly locked in future losses; you simply don’t realize it yet.

VALUE INVESTING IS A RISK-AVERSE APPROACH

The proper goal of a long-term investor is not to make as much money as possible as quickly as possible. It’s to earn good, sustainable returns and hang onto them. It’s also to increase one’s purchasing power over time, after taking inflation into account. Equities are able to support this objective in a way that most fixed-income investments cannot.

Unlike speculators and their preoccupation with quick gain, value investors strive to limit or avoid loss and thereby mitigate risk. When buying at a bargain price, one’s downside is, by definition, truncated. Should the price fall from that level (assuming the value hasn’t changed), the downside is further diminished—and the upside greater still. Contrary to academic theory, when a bargain becomes an even better bargain, you have both less risk and higher prospective return. What’s key is having long-term capital that makes it possible to hold this perspective and benefit from it.